

R-05 — Walkthrough

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Close checklist completed and signed

Control	Close checklist completed and signed (R-05)
Sub-process	Journals
Nature / frequency	Manual · Monthly
Risk addressed	Period close performed incompletely or without review.
Walked on	2026-03-11
Performed by	A. Jain, Audit Senior
Attended by	Journals lead, Financial Controller
Transaction walked	Close checklist CL-26-02 · February 2026 · 68 tasks

What we did

We selected one month-end close from the period and followed the checklist from task assignment through completion to the Financial Controller signing the close as complete, observing the control operate and inspecting the evidence it leaves at each point. The close walked was CL-26-02 for February 2026, carrying 68 tasks across seven owners.

What we observed, against each design check

1. Control addresses the stated risk and assertion.

The checklist is the control the risk register names against R-53 — period close performed incompletely or without review. We traced it to that risk and to the completeness assertion over period-end reporting. Every task carries a named owner, a due day relative to close and a required output, and the close cannot be marked complete while a task is open, so the control does address the risk of a step being skipped rather than only recording that the close finished.

Conclusion: operating as designed

2. Control operates at sufficient precision.

Completion is assessed against a stated threshold rather than by judgement: no task may be signed off without its required output attached, and the close cannot be released while any task rated critical remains open. Non-critical tasks may run up to two days past their due day within tolerance, and anything beyond that limit is escalated to the Finance Director. Two tasks in February ran late and were escalated accordingly.

Conclusion: operating as designed

3. Performed as described for each sampled item — designed to happen, at per item.

Sign-off sits with someone other than the person who performed the task. Each task is completed by its owner and signed by the Financial Controller, whose own tasks are in turn signed by the Finance Director — so no task is signed by the person who did it, and the segregation holds at every level of the checklist.

Conclusion: operating as designed

4. Exceptions handled per policy — designed to happen, at per exception.

The operation of the control is evidenced and retained. Each task carries its attachment, its completion timestamp and its signature in the close tool, and the tool keeps an audit trail of every re-opening after sign-off. We inspected the February close and 68 of 68 tasks were signed with outputs attached; the log showed one task re-opened on 6 March and re-signed the same day. The close record is retained for the full period.

Conclusion: operating as designed

Items inspected

Task	Area	Owner	Due day	Completed	Output attached	Signed
CL-02-011	Revenue cut-off	Revenue accountant	WD+2	WD+2	Yes	Yes
CL-02-024	Fuel accrual	GL accountant	WD+3	WD+3	Yes	Yes
CL-02-037	Lease schedule	Treasury accountant	WD+3	WD+5	Yes	Yes
CL-02-052	Intercompany agreement	Consolidation mgr	WD+4	WD+4	Yes	Yes
CL-02-066	Flux analysis	Financial Controller	WD+5	WD+6	Yes	Yes

Conclu

sion

The control is designed effectively to address the risk recorded against it. The walkthrough confirmed that each design check operates as described, that the control runs at a precision capable of catching a material error, that it is performed independently of the activity it controls, and that it leaves an audit trail sufficient for a reviewer to establish that it ran.

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